Credit Scores, Hiring, and the Kantian Limits of Data-Driven Judgment

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INTRODUCTION

I hold that it is not morally permissible for employers to use credit scores, a numerical measure based on an individual's credit history, as a proxy for trustworthiness and reliability when evaluating job candidates. As Cathy O'Neil argues in "Weapons of Math Destruction," this practice treats credit history as a moral signal, despite the fact that poor credit frequently results from factors beyond an individual's control, such as medical debt, job loss, or systemic inequality. From a Kantian perspective, as presented by Russ Shafer-Landau, this practice violates a core moral requirement: persons must be treated as ends in themselves, not merely as a means.

This essay defends that conclusion by building on Kant's principle of humanity. To set the stage, I first explain the employer practice described by O'Neil and clarify the Kantian concepts most relevant to this case, including maxims, rational agency, and treating persons as ends. Next, I present a structured argument showing that the use of credit scores in hiring reduces applicants to instruments for risk management rather than respecting them as autonomous agents. I then consider a potential objection to one premise of this argument and, afterwards, respond to that objection to demonstrate why it fails. Bringing these threads together, I conclude that respect for human dignity places firm moral limits on how employers may use data in hiring decisions.

CREDIT SCORE HIRING VIOLATES THE PRINCIPLE OF HUMANITY

Employers are increasingly using credit scores to screen job applicants, assuming that financial responsibility indicates workplace reliability. However, as O'Neil emphasizes, this assumption is both empirically weak and morally questionable. Many responsible workers suffer credit damage due to circumstances such as medical emergencies, layoffs, or structural disadvantages, rather than poor character. Once credit scores influence hiring, these individuals

are systematically excluded, and unemployment exacerbates their financial hardship, perpetuating a harmful feedback loop.

Given these significant consequences, it is essential to shift the focus from the practical impacts of credit-score-based hiring to the ethical analysis underlying this debate.

KANTIAN FRAMEWORK: MAXIMS AND THE PRINCIPLE OF HUMANITY

Kantian ethics begins from the idea that human beings are rational agents. They are creatures capable of acting for reasons, forming intentions, and setting goals. According to Kant, this rational capacity is what gives persons intrinsic moral worth, or dignity. Because of this dignity, persons must never be treated merely as tools for achieving someone else's purposes.

Shafer-Landau explains this requirement through Kant's principle of humanity, which states that we must always treat humanity, whether in ourselves or others, as an end in itself and never merely as a means. Treating someone as an end involves recognizing and respecting their status as a rational agent. Treating someone merely as a means involves using or evaluating them solely for how well they serve one's goals, without regard for their agency, intentions, or moral standing.

Applying this principle, a plausible formulation to identify the maxim guiding the employer's action is: "I ought to exclude job applicants with low credit scores in order to reduce risk and ensure reliable employees." The moral question is whether acting on this maxim respects applicants as ends in themselves.

WHY THE MAXIM TREATS APPLICANTS MERELY AS MEANS

Using credit scores in hiring violates the principle of humanity for three reasons. First, it substitutes a morally irrelevant proxy for an evaluation of the person as a rational agent. Credit scores reflect outcomes shaped by luck, health, and social position, not an applicant's intentions,

commitments, or work ethic. Kantian ethics is explicit that moral assessment must track what agents can control. Treating individuals as unreliable solely because of adverse circumstances disregards their agency entirely.

Second, the practice treats people as data points rather than individuals, filtering them out as statistical risks. Their reasons, histories, and capacities for responsible action are ignored. This exemplifies treating someone merely as a means: their humanity is considered only in terms of efficiency.

Third, the practice predictably entrenches disadvantage while absolving employers of responsibility. O'Neil shows that once credit screening is adopted, employers never learn how many competent workers they exclude. The algorithmic process replaces human judgment rather than informing it. This moral outsourcing further distances decision-makers from the human consequences of their actions, intensifying the failure of respect.

Together, these features show that credit-score-based hiring does not merely incidentally disadvantage applicants; it structurally denies their standing as ends. The practice is therefore morally impermissible under Kant's principle of humanity.

OBJECTION

Despite what was said, one might argue that employers are not using rejected applicants as a means at all. Rather, they are simply declining to enter a relationship with them. From the employer's perspective, they do not exploit, deceive, or coerce the applicant. The hiring policy is applied uniformly to all applicants, and furthermore, applicants consent to background and credit checks. On this view, it is universal and treats cases alike. This raises an objection that challenges the second premise of the argument, namely that no one is being treated as a "mere means" in the classic Kantian sense.

In fact, using credit information is no different from requiring certain credentials or prior experiences. One might argue that the employer is exercising a form of prudence that could be a universal rule: any rational business has a duty to avoid foreseeable harm, such as the harm of hiring an unreliable worker. If it is true, as the hiring managers believe, that a low credit score correlates with irresponsibility, then using that information could be seen as a rational screening tool, not a personal slight. The maxim "I ought to exclude job applicants with low credit scores in order to reduce risk and ensure reliable employees," might be perfectly universalisable if indeed it leads to better outcomes and is applied consistently. In Kantian terms, the employer's policy might be viewed as impartial since it's a general rule for all applicants and not obviously inconsistent, as we can imagine a society where every employer does this without logical contradiction.

Thus, the objector claims, the practice could be permissible. It doesn't inherently violate anyone's rights or autonomy since no one has a right to be hired, no applicant is owed a job, and an unfavourable credit history could be seen as self-inflicted in some cases, for instance, due to past irresponsible choices. In short, the objection holds that credit-score-based hiring is a neutral, rule-governed decision procedure, not a moral transgression in itself.

RESPONSE TO OBJECTION

However, this objection misunderstands what Kant means by treating persons as ends. The principle of humanity not only prohibits coercion or deception. It also forbids excluding people from moral consideration by treating them as interchangeable instruments.

The employer's decision to rely on credit scores does exactly this. The applicant's rational agency is not engaged at all. Their reasons, intentions, and capacity for responsibility are

irrelevant to the decision. What matters is only how efficiently they serve the employer's risk-management goals. That is a paradigmatic case of treating someone merely as a means.

Moreover, uniform application does not guarantee moral permissibility. A rule can be consistently applied and still fundamentally disrespectful. Kantian ethics requires that persons be judged in ways that recognize their agency. Kant's universal law test is not simply about everyone doing the same thing; it is about whether the rule could be willed by all rational agents without contradiction. For instance, a job applicant is a rational agent with her own ends of securing honest employment to support herself. However, the blanket policy that eternally denies her opportunities, due to a past misfortune such as huge medical bills that have effectively ruined her credit, nullifies her ability to pursue that fundamental end. No rational person would consent to a system that permanently incapacitates their chances based on uncontrollable events. Such a world would be one where a large class of people is permanently meant to others' ends, left to languish as a cautionary example of "bad risk", and never allowed to function as ends themselves. Therefore, credit screening fails this test because it assigns moral significance to factors beyond the applicant's control and then treats the resulting classification as decisive.

Finally, the fact that applicants "consent" to credit checks is morally insufficient. Consent given under structural necessity, where refusing means exclusion from employment, is not evidence of genuine respect. Kantian respect requires that institutions be structured so that individuals are not forced to accept dehumanizing evaluation standards in order to survive.

Thus, the objection fails. Credit-score-based hiring does not merely decline a relationship; it systematically misrecognizes persons as risks rather than agents, which is exactly what the principle of humanity forbids.

CONCLUSION

Using credit scores as a proxy for trustworthiness in hiring is morally impermissible. As Cathy O'Neil demonstrates, the practice is founded on shaky assumptions and perpetuates self-reinforcing harm. From a Kantian perspective, the deeper problem is moral: the practice treats applicants not as rational agents worthy of individual evaluation, but as means to organisational efficiency. By substituting credit history for agency, employers violate the principle of humanity and fail to respect persons as ends in themselves.

Therefore, even if credit screening is convenient or profitable, it cannot be morally justified. Respect for persons places firm limits on how data may be used, especially when decisions affect individuals' ability to pursue their basic life plans. The moral law requires more than efficient sorting; it requires recognition of human dignity.

References

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Shafer-Landau, R. (2020). The fundamentals of ethics (5th ed.). Oxford University Press.